

good site for information. And if you do decide to open any of these types of accounts, Financial Engines (see the box on chapter 6) can help make sure your investments are on track. Also, IRS Publication 560 (*Retirement Plans for Small Business*) provides comparison charts, examples, and worksheets for all of these types of plans. You can get it online at www.irs.gov/publications/p560 or get a free print copy by calling 1-800-TAX-FORM (829-3676).

BUT I JUST CAN'T AFFORD IT!

There's a little-known but terrific way to get some retirement savings, even if you earn very little. If you're like a lot of people starting out, your salary is just not enough, especially if you spend most of your entry-level paycheck on big-city rent or student loan debt. But something called the "Saver's Credit" provides a means for the government to pay you for contributing to a retirement plan.

Here's how it works. For every \$1 you put into a 401(k) or IRA (up to \$2,000 a year), the government gives you back 50 cents at tax time. So if, for example, you put in \$100, you may qualify for a credit of up to \$50. You qualify for the full rebate if your income is under \$16,500 as a single person or \$33,000 as a married couple. The details vary, but you can still get some money back if you earn less than \$27,750 as a single person or \$55,500 as a married couple.

To take advantage of this, you'll have to file either Form 1040 or 1040A (not the EZ form) when you do your taxes and fill out IRS Form 8880, which is available at www.irs.gov/pub/irs-pdf/f8880.pdf. The rules are a little complicated, but the IRS has put together a good summary at www.irs.gov/taxtopics/tc610.html.

FINANCIAL CRAMMING

- **Enroll in your company retirement savings plan or open an individual retirement account (IRA) at a no-load mutual fund company—right now.**